

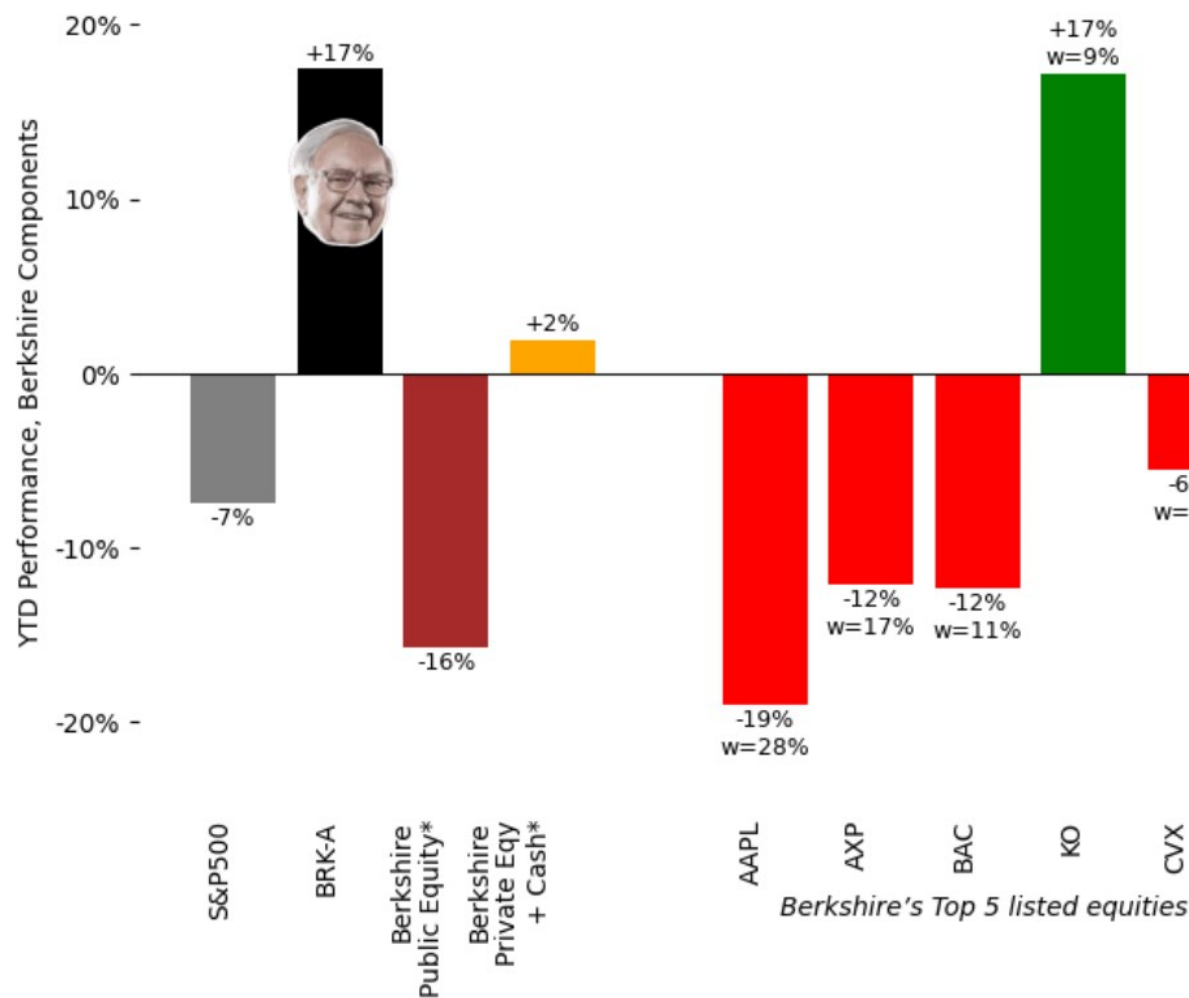


Berkshire Hathaway: 2025 Performance

**“Buffett Premium
or
Buffett Bubble”**

YTD performance is particularly puzzling: Berkshire Hathaway (BRK.A) is up ~17%, sharply outperforming the S&P 500 (−7%) . This surge comes even as Berkshire's top public holdings (e.g. Apple) have slumped.

Berkshire Soars in 2025:
+17% for BRK.A vs −7% for S&P 500 and −16% for Its Own Holdings
What's Driving the Divergence?



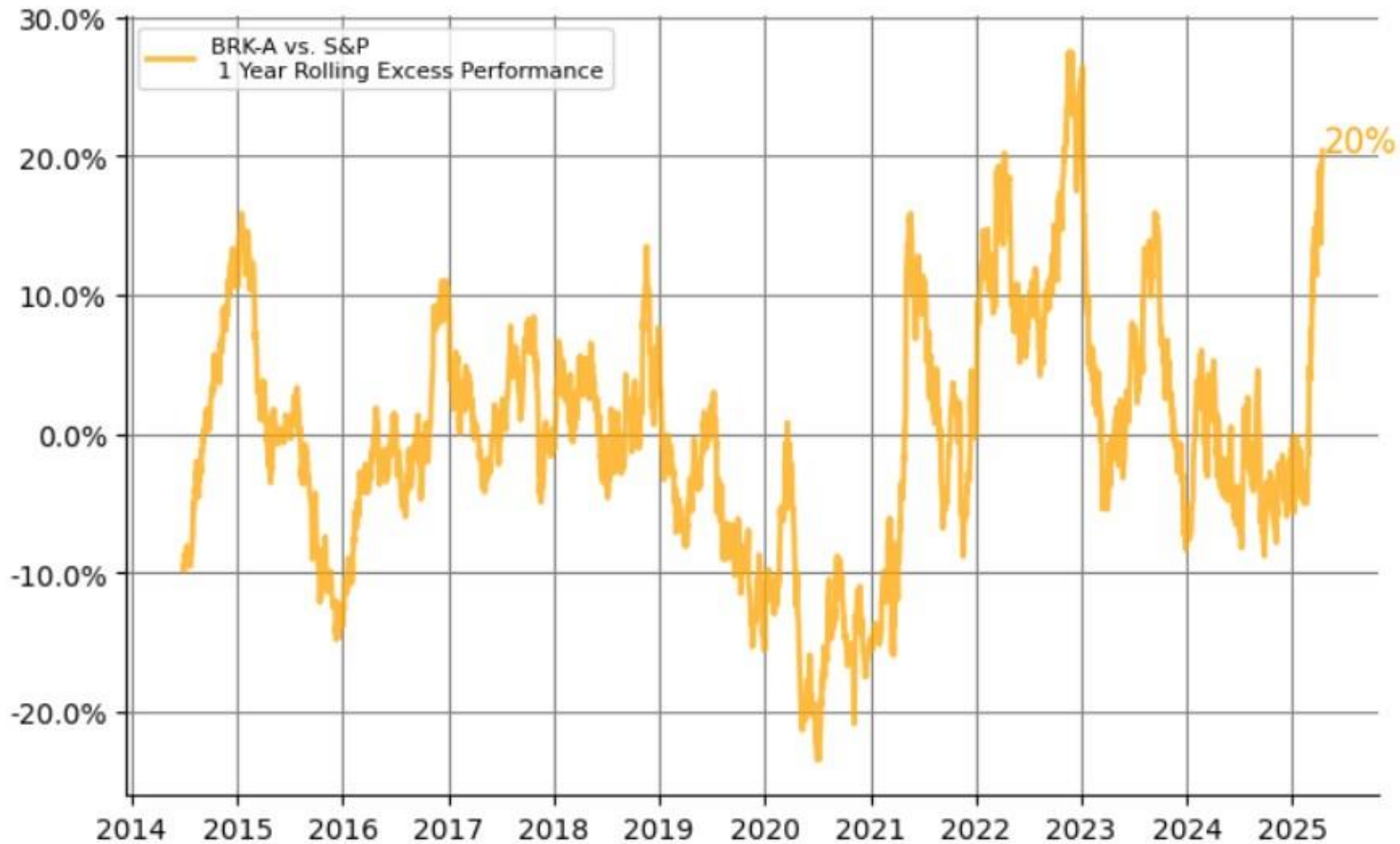
YTD Performance as of Apr 15, 2025

- Berkshire's allocation to listed equities is based on 13F filings (SEC EDGAR)
- Cash allocation is assumed at 25% and invested in SHY
- Berkshire's non-public segments are proxied as follows:
 - 20% PGR (GEICO)
 - 20% CB (General Re, Berkshire Re)
 - 25% UNP (Railroads)
 - 20% NEE (Berkshire Hathaway Energy)
 - 15% HON (Industrials & Misc.)

A 1.3× portfolio leverage is applied, in line with AQR's *Buffett's Alpha* (2018)

Over the past 12 months Berkshire is outperforming at a pace nearing historical extremes.

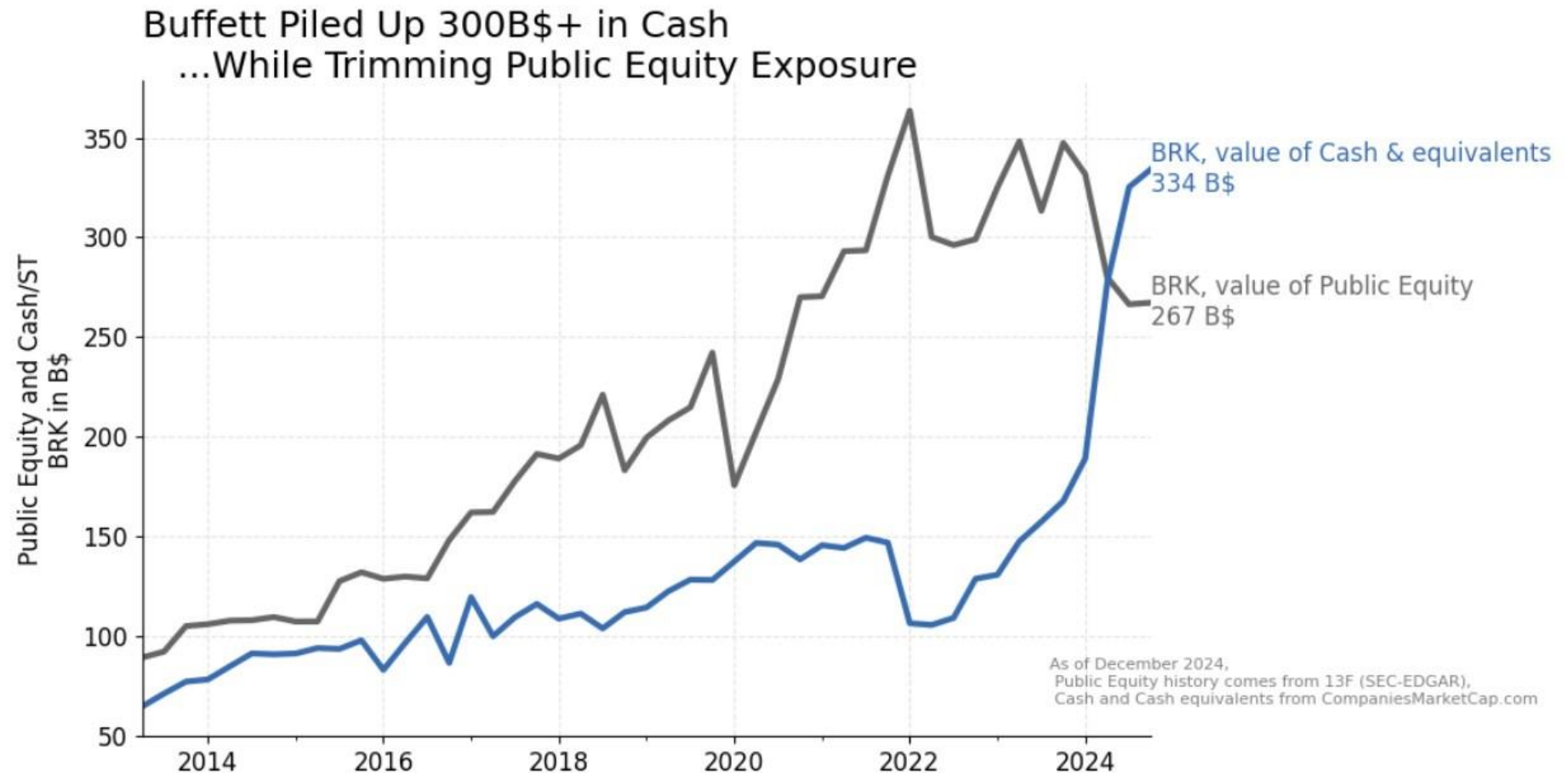
At +20%,
Berkshire's 1-Year Rolling Outperformance vs. S&P 500
Reaches Extreme level



Buffett is trouncing both the broader market and the very stocks it owns to become the 7th biggest US company.



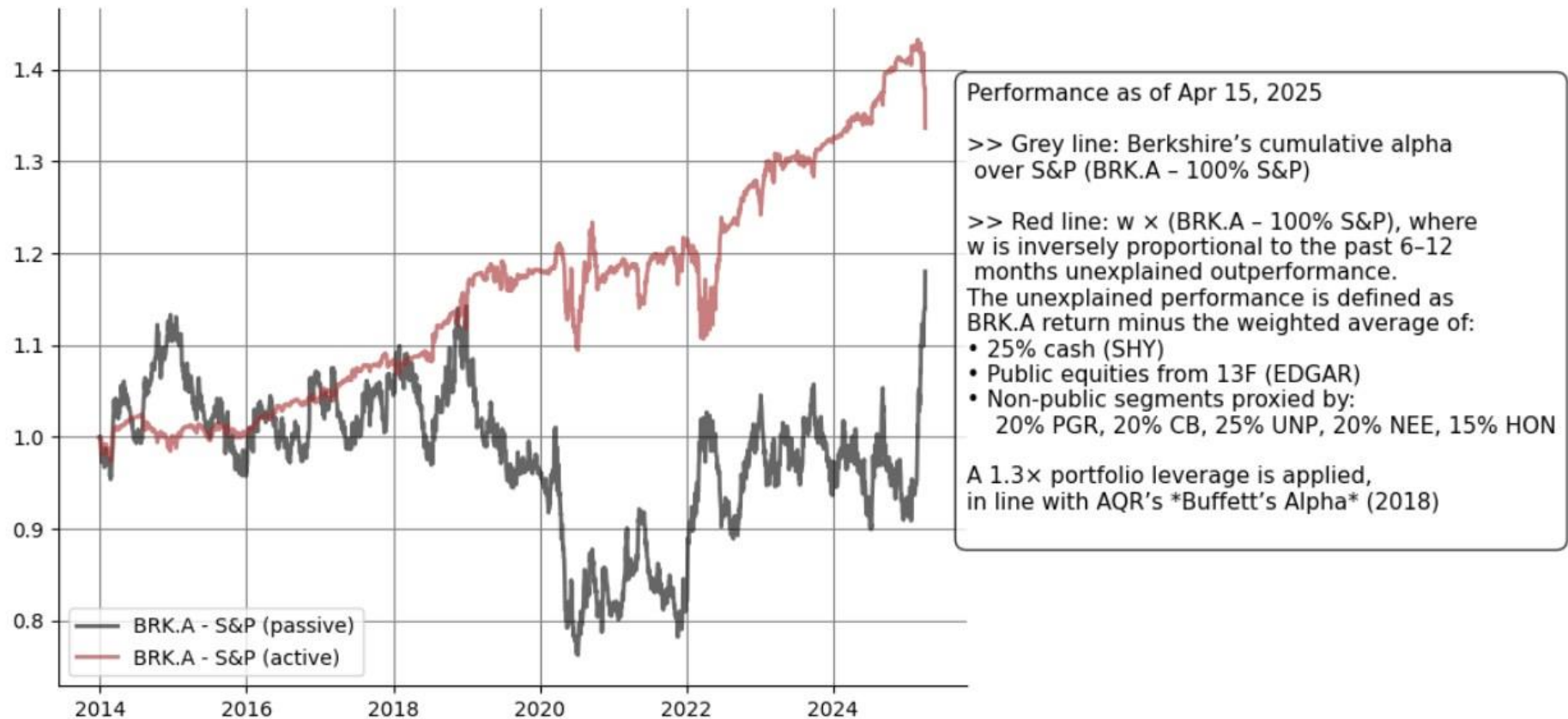
It's as if investors are placing a premium simply to ride alongside Buffett
Confidence is high that his massive cash pile will be deployed into future
magic



Historically, such divergences tend to mean-revert within 6 to 12 months

Berkshire's Unexplained Performance Historically Reverted

A dynamic BRK.A vs. S&P 500 strategy, with S&P exposure inversely proportional to Berkshire's 6- to 12-month idiosyncratic return, has historically delivered a ~0.6 Sharpe



The “Buffett Premium”: Justified or Bubble?

- **Valuation at High End:**

It now trades around **1.7× book value** (near a decade-high) and ~25× expected earnings – **premium levels** for what’s seen

- **Market Faith in Buffett:**

Clearly, the market is assigning a **significant premium** to Buffett’s management and Berkshire’s stability, **deifying Buffett** as the one who can do no wrong.

Has Berkshire earned its halo – or are investors chasing it beyond reason?

